

QUESTION (18 marks)

[Rivian Automotive, Inc.](#) describes itself as an “automotive technology company that develops and manufactures category-defining electric vehicles as well as vertically integrated technologies and services ... Rivian vehicles are manufactured in the United States and are sold directly to consumer and commercial customers.” (Source: [Rivian 2025 annual filing](#), or 10-K report).

Large companies invested in Rivian before the company went public. In 2019, [Ford Motor](#) invested approximately \$1.2 billion in the company, only to begin selling shares in 2022 at substantial gain. Amazon also made a significant investment in Rivian. On June 25, 2024, Volkswagen (VW, which includes brands like Audi, Bentley, Lamborghini, and Porsche) announced a [\\$5 billion partnership investment](#). By the end of 2025, the focus was turning towards [AI and autonomy](#).



PART 1 (7 marks)

REQUIRED: Determine the missing numbers.

	ROW / COLUMN:	A	B	C	D	E
		Dec. 31, 2025	Dec. 31, 2024	Dec. 31, 2023	Dec. 31, 2022	Dec. 31, 2021
1	Balance Sheet, as at (\$ USD, in millions)					
2	Assets					
3	Cash	3,579	5,294	7,857	11,568	18,133
4	Non-cash assets	11,285	10,116	C4	6,308	4,161
5	Total assets	14,864	15,410	C5	17,876	22,294
6	Liabilities	10,270	8,848	7,637	D6	2,780
7	Equity:					
8	Contributed equity	31,509	29,867	27,696	26,927	25,888
9	Retained earnings (deficit)	(26,951)	(23,305)	C9	D9	(6,374)
10	Other equity	36	-	3	(2)	-
11	Total Equity	4,594	6,562	C11	13,799	19,514
12	Total Liabilities and Equity	14,864	15,410	16,778	D12	22,294
13						
14	Income Statement for fiscal year (\$ USD, in millions)					
15	Net loss attributable to common stockholders	(3,646)	(4,747)	(5,432)	(6,752)	(4,688)

C4: Non-cash assets on Dec. 31, 2023

D6: Liabilities on Dec. 31, 2022

C5: Total assets on Dec. 31, 2023

D9: Retained earnings on Dec. 31, 2022

C9: Retained earnings on Dec. 31, 2023

D12: Total liabilities and equity on Dec. 31, 2022

C11: Total equity on Dec. 31, 2023

PART 2 (2 marks)

REQUIRED: Did Rivian declare any dividends in fiscal 2025? Explain.

PART 3 (2 marks)

REQUIRED: Review Rivian's income statements below. Are you surprised that the company didn't issue any dividends in recent years? Explain.

Income Statement for fiscal year (\$ USD, in millions)	Dec. 31, 2025	Dec. 31, 2024	Dec. 31, 2023	Dec. 31, 2022	Dec. 31, 2021
Revenues	5,387	4,970	4,434	1,658	55
Cost of goods sold	5,243	6,170	6,464	4,781	520
Gross profit	144	(1,200)	(2,030)	(3,123)	(465)
Other expenses and items	(3,790)	(3,547)	(3,402)	(3,629)	(4,223)
Net loss attributable to common stockholders	(3,646)	(4,747)	(5,432)	(6,752)	(4,688)

PART 4 (3 marks)

REQUIRED: Use Rivian's financial information (including from previous page) to calculate the debt-to-equity ratio in 2025. What is the main reason for the change in the ratio over the past few years?

Ratio	Dec. 31, 2025	Dec. 31, 2024	Dec. 31, 2023	Dec. 31, 2022	Dec. 31, 2021
Debt-to-Equity ratio		1.35	0.84	0.30	0.14

PART 5 (2 marks)

Key underlying assumption of financial reporting is the "going concern" assumption. Our textbook explains it as follows: "Companies are assumed to have continuity in that they can be expected to continue in operation over time." (p. 25)

REQUIRED: Before a company faces financial trouble, what warning signs might suggest it may not survive the next year—and what factors would reassure you that it will? Is "going concern" a reasonable assumption for Rivian in 2025? Use relevant financial information to support your answer.

PART 6 (2 marks)

During September 2019, Amazon announced an order for 100,000 electric delivery vehicles from Rivian.

REQUIRED: Would it be "material" if Rivian omitted this from their December 31, 2019, financial reports? Explain.